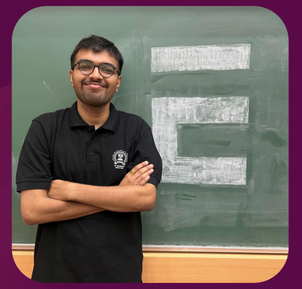
BUSINESS TRACK · DETAILED SUBMISSION · ROUND 2

Building Meesho's Consumer-to-Manufacturer (C2M) Base

FACTORY DIRECT

meesho SEASON 3 DICE CHALLENGE

Team 23B0747



Prathmesh Walimbe

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Problem Statement

India's cheapest goods are made in factories that won't sell online, because returns, unsold stock and slow first sales scare them off. Meesho has to bring these factories on and keep them selling, so prices drop because costs are lower, not because of discounts.

OVERVIEW

Objective: a factory base that sells cheaper, and stays

Bring cost-advantaged factories onto Meesho through Factory Direct, and keep them.

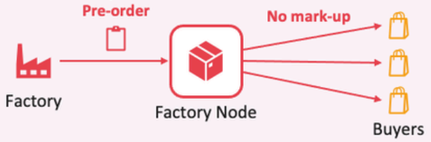
As-is: through wholesalers and resellers

Mark-ups and stock pile up

- Mark-ups stack before the buyer
- ₹220, 5.4% above market
- Stock + returns sit with resellers

VS

To-be: Factory Direct

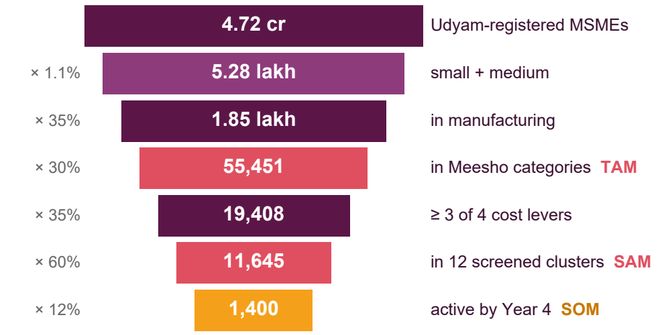


Factory sells straight to buyer

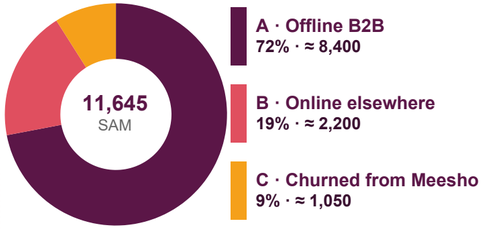
- No intermediary mark-up
- ₹180, 13.8% below market
- Made only to confirmed orders

Size of the prize: 4.72 cr MSMEs narrow to 1,400 factories, and ₹1,049 cr of mark-up a year to remove

BOTTOM-UP SIZING · firms



WHO THE 11,645 ARE · 3 cohorts



THE GAP WE CLOSE

- ₹41,560 cr — FY26 NMV
- × 40% — in 9 C2M categories
- × 6.3% — wholesaler mark-up share
- = ₹1,049 cr — a year of mark-up buyers pay today

Value chain: pain point → impact → market gap

Stage	1 Pricing	2 Production	3 Fulfilment	4 Demand	5 Retention
Pain point	Price discovery — Scale ≠ price; list prices overstate demand	Inventory & cash — Build-to-stock risk; 45–60 day terms	Unit operations — Ships order by order; returns land at factory	Visibility — No reviews at start; district demand unknown	Retention — Gap decays after badge; quality slips
Impact	Value band underserved — Sub-₹200: 11% of listings, 43% of reviews	Small runs cost more — Runs <500 cost 2× per piece; 30% cite stock	Returns drive exits — 43% quit over returns; 33% lack staff	Cold start — New sellers start with no orders	Churn after joining — 1 in 5 that joined quit; 35% want back
Market gap	Target-price briefs — Price ladder per category	Pooled pre-orders — Batches of 500+; 30% paid at handover	Factory Node — Picks, packs and takes returns	Impression grants — Visibility for new factories, not order subsidies	Quality-linked badge — Badge kept only on quality score

Manufacturer Funnel Analysis

Cohort (proposed profile, to confirm)	Fulfilment	Inventory risk	Returns, RTO	Unproven Demand	Cash cycle	Channel conflict
Cohort A · Wholesale-led mid-size units — Sell in bulk via wholesalers; never ship single orders	HIGH	HIGH	HIGH	HIGH	MED	HIGH
Cohort B · Export and brand suppliers — Ship and fund well; wary of undercutting brand clients	LOW	MED	MED	MED	LOW	HIGH
Cohort C · Small job-work units — No channel to protect; cannot carry stock or returns	MED	HIGH	HIGH	HIGH	MED	LOW
Meesho can fix	YES	YES	YES	YES	PARTLY	PARTLY

Stakeholders' Voice: Problem, Problem Area and Fix for each player in the chain

Stakeholder	Opinion	Problem	Problem area	Suggestion for Meesho
Export-led factory	*"Currently, domestic business is about 20%, and we are planning to increase it to 35–40% … because export markets are mostly volatile."*	Export orders swing with tariffs	Demand	**Make Factory Direct a permanent domestic channel**
Small-run factory	*"Orders of around 100 pieces tend to double costs … so 500 pieces is our preferred minimum."*	Small runs cost twice as much per piece	Operations	**Pool district demand into batches of 500+**
Cluster association	*"Panipat's exports had shrunk by 50 per cent, while the domestic market had also been disturbed very badly."*	Idle looms, weak domestic orders	Demand, cash	**Panipat as pilot cluster; 30% paid at handover**
Wholesaler / reseller	"If factories sell direct on the app, our margin and our role disappear."	Loses margin when factories sell direct	Channel conflict	**Offer a bulk-buy or Factory Node operator role**
Buyer	"Same product, three prices, three sellers: I can't tell who actually made it."	Pays stacked mark-ups; can't tell who made it	Price, trust	**"Sold by the manufacturer" badge, kept on quality**
Meesho (platform)	*"If their quality is not that great, they do not get visibility for orders."*	New sellers start with no orders	Visibility	**Impression grants for new factories, not order subsidies**

A factory owner's dilemma

Sources: Meesho Q4 FY26 earnings call; Meesho FY26 results, Deccan Herald and Inc42; ICRIER, Annual Survey of MSMEs 2025; Ministry of MSME, revised MSME limits; Udyam portal; The Tribune, Panipat textile industry; Finnovate and Zappchai, Meesho category mix; Apparel Resources, Tirupur owner interviews

Owner interviews
4-5 phone & video calls

Google Form survey
Emailed & got 10+ responses

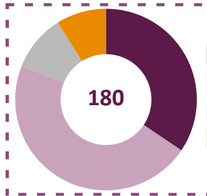
Geo Mapping
Study manufacturing Region

Online Research
Study data & resources

12 Category Segments × 4 Cost Metrics

Segment (category)	Cluster	Floor 40%	Idle 20%	Returns 25%	Freight 15%	Score
Saree & dress material	Erode, Bhiwandi	✓	✓	✓	✓	5.0
Home textiles	Panipat, Solapur	✓	✓	✓	–	4.7
Moulded plastics	Rajkot, Daman	✓	✓	✓	–	4.7
Hosiery & innerwear	Tiruppur, Ludhiana	✓	–	✓	✓	4.6
Imitation jewellery	Rajkot, Coimbatore	✓	✓	–	✓	4.5
Basic footwear	Agra, Bahadurgarh	✓	✓	–	✓	4.5
Steel kitchenware	Jagadhri, Wazirpur	✓	–	✓	–	4.3
Brass décor	Moradabad	✓	✗	✓	–	3.9
Bags	Nangloi, Kolkata	–	✓	–	✓	3.7
Fitted western wear	Gandhi Nagar, Bengaluru	–	✓	✗	✓	3.2
Electronics accessories	Import-assembly	✗	✓	–	✓	2.9
Ethnic wear	Surat	✗	✓	✗	✓	2.4

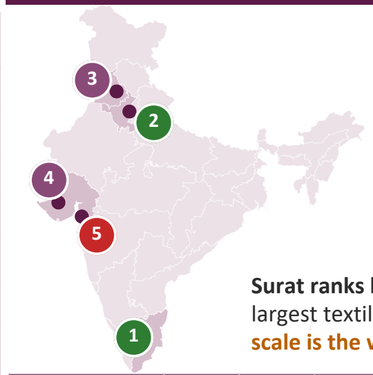
Rows 10-12 fail two tests: not now. **Floor** ✓ cost ≥ 12% under demand-weighted median
Idle ✓ spare capacity · **Returns** ✓ low band · **Freight** ✓ light for value



- **62** C2M-ready
- **84** scale, no price edge
- **18** loss-leader
- **16** near miss

Scale ≠ price. Of 180 sellers above ₹5 cr, only **62 are C2M-ready**; **7 of the 10 largest** fail the price gate. Screen on price, not turnover (prototype, synthetic sellers).

Cluster AHP: Where to Pilot



1. Tiruppur 4.68
2. Panipat 4.52
3. Ludhiana 3.74
4. Rajkot 3.70
5. Surat 3.28

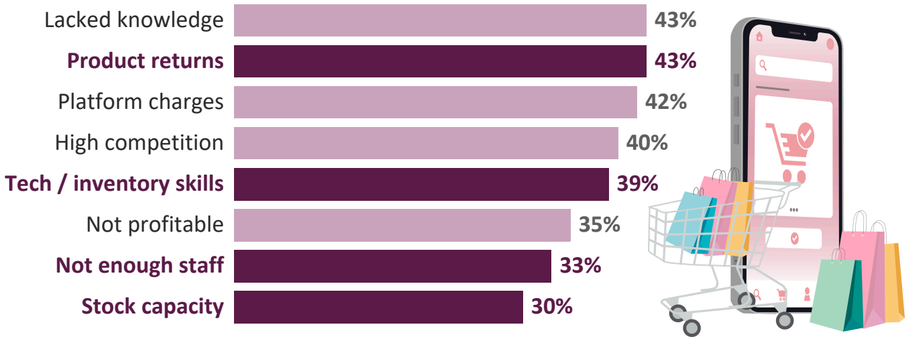
Surat ranks last despite India's largest textile turnover (> ₹1 lakh cr): **scale is the wrong signal**.

Cluster	Cost 0.34	Dem 0.26	Ret 0.18	Node 0.14	Inst 0.08	Score
1 Tiruppur	5	5	4	4	5	4.68
2 Panipat	5	4	5	4	4	4.52
3 Ludhiana	4	3	4	4	4	3.74
4 Rajkot	4	3	5	3	3	3.70
5 Surat	2	5	2	5	3	3.28

START HERE
Cohort A, top-5 categories, Tiruppur and Panipat. Its barriers are operational, and operational barriers are the only ones a platform removes with infrastructure instead of money.

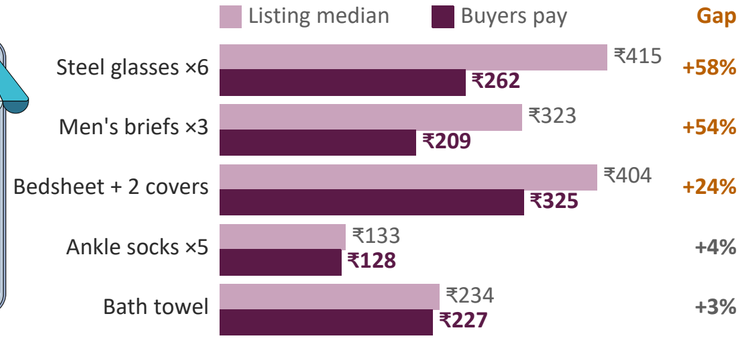
NOT NOW
Fashion-led ethnic and electronics accessories, however large the seller. No cost ownership means the price gap has to be funded, and a funded gap is a subsidy with a different name.

Why MSMEs quit E-Commerce



Dark = operational: a node and batches remove them. **1 in 5** who joined quit; **35%** still want to

List price vs What Buyers Pay



List medians run **3-58% above** what buyers pay.
Under ₹200: **11% of listings, 43% of reviews**.

Team GD

5 Hypotheses debated by the team

Objective: ***"What should Factory Direct be built around, and for whom?"***
Inputs: 4 owner interviews, Google Form, listing teardown, ICRIER, global cases
Method: Each hypothesis kept only if 2+ sources back it

We debated	Verdict	Because (evidence)
Discounts will pull factories online	✗ Dropped	Quit reasons are operational: returns 43%, stock 30%
Bigger sellers offer the best prices	✗ Dropped	7 of 10 largest fail the gate; Surat ranks last
List prices show real demand	✗ Dropped	List medians run 3–58% above what buyers pay
Fix returns, stock and shipping first	✓ Kept	4 of the top 8 quit reasons; owners echo it
Start with offline factories, 2 clusters	✓ Kept	Cohort A = 72% of SAM; Tiruppur, Panipat top AHP

Team conclusion
Build Factory Direct around **operations, not discounts**: a node, prepaid batches and a price gate.
Pilot: Cohort A, Tiruppur + Panipat.
Still open: Cohort B as value-tier only, or out.

Sources: ICRIER, Annual Survey of MSMEs 2025 (n = 2,365); The Federal and Deccan Herald, Tiruppur; The Tribune, Panipat; Shiprocket and Robnu, Meesho seller fee guides; meesho.com listings

Rajesh Agarwal

(The Offline Bulk Manufacturer)

Age: *48,* ***Location:*** *Surat, Gujarat (textile hub)*
Business: *Saree & dress-material mill, ₹50 Cr turnover*
Sales Channel: *Wholesalers & distributors*

Background & Context

- Second-generation owner, controls yarn sourcing, weaving & dyeing in-house and structurally lower unit cost than resellers
- Ships in bales of 500-1,000 pcs on 30-90 day credit with zero returns
- 2-3 layers of middlemen add margin before goods reach the end buyer
- Looms run below capacity in off-season months

Primary Goals

- Fill idle capacity without disturbing core B2B orders
- Cut dependence on a few large wholesalers and their credit cycles
- Capture the margin currently lost to intermediaries

Major Pains / Barriers

- No setup for single-unit pick, pack, ship or reverse logistics
- Inventory risk: B2C needs stock-ahead vs. B2B "make only what is sold"
- Unproven demand: "Will online give me enough volume to bother?"
- Fears channel conflict with his wholesale buyers

Behavior & Tech Habits

- Runs business on calls, WhatsApp groups & Tally; low digital comfort
- Relies on accountant or son for anything online
- Trusts peers & trade associations; moves on proven success stories

How He Sees Meesho Today (Before Solution)

- His products already sell on Meesho, but via resellers at a markup
- Approached by marketplaces before, never shown a quantified business case → stays offline

Kavita Patel

(The Small Online Manufacturer)

Age: *34,* ***Location:*** *Rajkot, Gujara*
Business: *Kitchen & home products, ₹4 Cr turnover*
Sales Channel: *Meesho, Flipkart, Local Market, etc*

Background & Context

- Took over a plastics work unit and launched her own brand 5 years ago
- Owns moulding & assembly but buys raw granules from traders
- Handles listing, packing & dispatch in-house with a 3-person team
- Thin margins, working capital locked in moulds, stock & pending payouts

Primary Goals

- Steady, predictable daily orders to keep machines running full shifts
- Stand out from resellers selling the same unbranded containers
- Lower breakage/return losses and get faster payment cycles

Major Pains / Barriers

- Competes on price with resellers sourcing near-identical goods
- Bulky, low-ticket items & shipping cost & transit breakage eat into margin
- Visibility drops after new-listing phase; ads are costly
- New mould leads to big upfront cost, so she cannot test many designs

Behavior & Tech Habits

- Manages seller panels on phone, checks orders & rival prices daily
- Learns digital-marketing, experiments with combo packs & discounts
- Multi-homes, pushes stock to whichever platform gives orders that week

How He Sees Meesho Today (Before Solution)

- Lists ~80 SKUs; Meesho is a volume channel but she is ranked alongside resellers
- Paused listings once after a weak first month; at risk of churning again

Mr. Arjun Rao

(Meesho)

Age: *36,* ***Location:*** *Bengaluru*
Occupation: *Category & Supply Growth Lead C2M*
Company: *Meesho*

Background & Context

- Owns C2M seller acquisition & scale-up across apparel, home & personal care
- Success measured by C2M share of NMV and price index vs. competitors
- Works with manufacturing hubs (Surat, Tiruppur, Ludhiana, Jaipur) and seller-ops teams

Working Style

- Data-driven & scalability-first: prefers productised, low-touch levers over manual handholding
- Runs quick pilots; scales only what moves price and retention

Primary Goals

- Grow active C2M sellers and their share of category NMV
- Deliver structurally lower prices, not subsidy-funded discounts
- Lift 30-day activation & 90-day retention of new manufacturers
- Tell true cost-advantaged makers apart from large resellers

Behavior & Tech Habits

- Lives in dashboards: C2M NMV, price index, cohort retention
- A/B tests every ranking or badge change before rollout
- Trusts data over seller pitches; steps in only on exceptions

Major Pains

- Low C2M penetration; large makers stay offline or sell via resellers
- New sellers win a small share of orders in first 30 days → early churn
- Seller scale ≠ price advantage; no clean signal to target the right makers
- Onboarding relies on account managers; cannot scale to hundreds of sellers

KEY PROBLEMS

identified from our user personas

1. Makers forced to become marketers

- Core skill is manufacturing, yet listings, photo shoots, ads, pricing & buyer queries eat the owner's time
- Energy goes into selling, not into making cheaper products

2. No demand predictability to lower prices

- Meesho wants structurally lower prices, but factories won't commit to runs without knowing what sells, where & how much
- Need: a predictability model linking buyer demand to factory batches

3. Inventory & storage burden

- B2C means stocking ahead of orders: no warehouse space for bulky goods, and returns pile up
- Capital gets locked in unsold stock → risk of dead inventory

Factory Node: A shared stocking point where each factory keeps part of its finished goods at a Meesho partner hub and the rest at its own factory and the hub is topped up from the factory stock as orders use it up

1 · Open marketplace (factory self-ships)

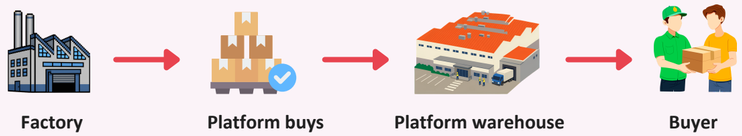
The factory lists, then packs, ships and takes back every return itself.

› **Factory does:** list, pack, ship, take back returns
› **Platform does:** storefront, payments, courier
› **Result:** lowest viable price ₹194, 7.2% below: fails the 8% gate

Who runs it: amazon, meesho, Flipkart

2 · Fully managed (platform buys and holds stock)

The factory sells stock to the platform, which prices, stores and ships it.

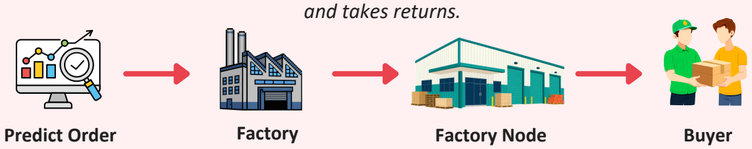


› **Factory does:** make to the platform's purchase order
› **Platform does:** buy, price, store, ship, handle returns
› **Result:** not allowed: an FDI marketplace may not own seller stock

Who runs it: TEMU, SHEIN

3 · Factory Direct (seller-owned stock at a node)

The factory makes confirmed pre-orders and drops them in bulk; a partner node ships and takes returns.



› **Factory does:** make confirmed batches, keep title
› **Node and Meesho do:** pick, pack, ship, returns; demand data, gate
› **Result:** lowest viable price ₹180, 13.8% below: clears the gate

Who runs it: Alibaba.com, Alibaba's C2M 淘宝网 Taobao.com, Pinduoduo

Comparison of C2M operating models (✓ removes the barrier · - partly · ✕ no)

Strategy considered	Advantages	Disadvantages	Unit ops	Stock risk	Returns	FDI-legal	Low capex
1 · Open marketplace	No capex; the factory keeps control	Needs a packing and returns team; builds stock blind; ₹72 logistics per pack	✕	✕	✕	✓	✓
2 · Fully managed	The factory only makes; the platform runs everything	Platform owns inventory: barred for FDI marketplaces (Press Note 2); price-squeeze risk	✓	✓	✓	✕	✕
3 · Factory Direct	Node runs unit ops; batches only for confirmed orders; seller keeps title	Needs node partners (₹1.3 cr each) and a 7-8 day pre-order wait	✓	✓	✓	✓	-

TEMU: Moved US sellers to semi-managed: 20% of US GMV by Q3 2024

SHEIN: 336 of 2,000 factories signed; 1 still producing after price-cut asks

VALMO: Started as a capped H2 bet; now 50-55% of deliveries

Costs considered per model (₹ per 3-pack kept)

Cost line	Self-ship	Factory Direct
Logistics (forward + pack / node)	72.4	68.4
Unsold stock	5.6	0.9
Working capital	2.2	0.4
Returns (₹150 each)	13.0	13.0
Lowest viable price	**₹194**	**₹180**

› **Fully managed:** not costed; an FDI marketplace may not own seller stock
› **Meesho's cost:** ₹1.3 cr set-up per partner node; 12 nodes by Year 4
› **Node fee:** ₹20 a unit (pack ₹6, handle ₹9, bulk freight ₹5) vs ₹24 for SMB fulfilment

1 PREDICT *Owner: Meesho Data Science* | 2 MAKE & SELL *Factory makes · Meesho sells* | 3 STORE & SHIP *Partner node + Valmo*

Sources: Meesho Q1 FY27 Shareholders' Letter; Meesho Q4 FY26 earnings call; Shiprocket, fulfilment pricing; Tech Buzz China, Temu Watch; Reuters, Shein Brazil; Khaitan & Co, Press Note 2; Xinhua, Taobao C2M; Alibaba Group results; AFP, Shein

Meet Kavin: a factory owner's first prepaid batch, screen by screen

1 Will I make money? Day -7 · Price check

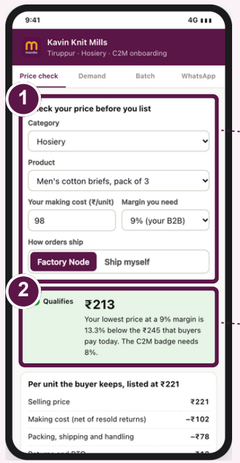
KPI: ≥ 50% listed within 30 days

Kavin thinks…

"Online means returns eat my margin. Will I make money?"

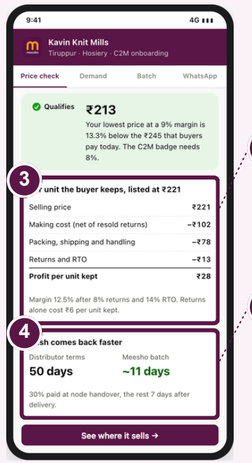
FEELS: Sceptical ▼ Reassured

REMOVES
- ✓ unknown margin
- ✓ returns exposure
- ✓ slow cash



1. **Enters his numbers**
Product, making cost ₹98, the 9% margin he needs, and "Factory Node" for shipping.

2. **Verdict before listing**
Lowest viable price ₹213: 13.3% below the ₹245 buyers pay. Badge needs 8%.



3. **Profit per pack kept**
₹221 - ₹102 making - ₹78 shipping - ₹13 returns = ₹28.

4. **Cash back faster**
~11 days via the node (30% at handover) vs 50 on distributor terms.

2 Is there demand? Day -5 · Demand Brief

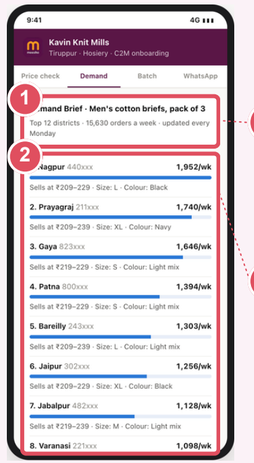
KPI: first prepaid batch ≤ 14 days

Kavin thinks…

"Who will buy 1,000 briefs, and in which sizes?"

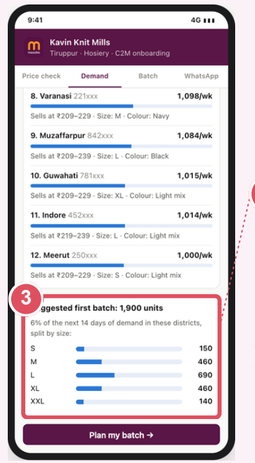
FEELS: Unsure ▼ Convinced

REMOVES
- ✓ unproven demand
- ✓ guessing sizes
- ✓ guessing price



1. **His exact product, ranked**
Top 12 districts: 15,630 orders a week, refreshed every Monday.

2. **What sells where**
Nagpur 1,952 a week at ₹209-229, size L, black. Same for each district.



3. **A batch he can size**
1,900 units = 6% of 14 days' demand, split S to XXL.

Privacy built in
District totals only; no buyer is identifiable.

3 Must I stock up blind? Day 0-3 · Batch window

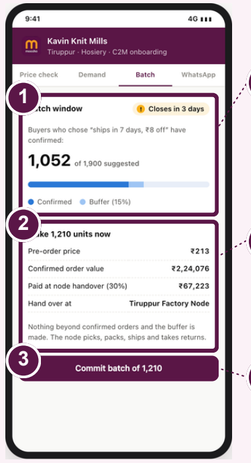
KPI: ≥ 60% of cohort orders at D7, D14

Kavin thinks…

"If it doesn't sell, the stock and returns are mine."

FEELS: Anxious ▼ In control

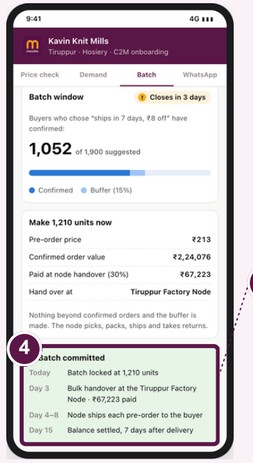
REMOVES
- ✓ build-to-stock risk
- ✓ unit shipping
- ✓ cash gap



1. **Buyers commit first**
1,052 of 1,900 prepay "ships in 7 days, ₹8 off" in a 3-day window.

2. **Make only what's sold**
1,052 + 15% buffer = 1,210 units; ₹67,223 paid at handover.

3. **One tap**
Commits the batch. Nothing beyond it is made.



4. **What happens next**
Day 3 bulk drop at the Tiruppur node · Days 4-8 node ships · Day 15 balance paid.

4 No app, no manager Every Monday · WhatsApp

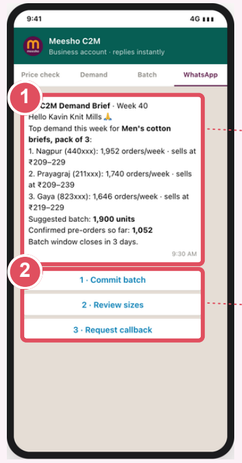
KPI: active at Day 90 ≥ 75%

Kavin thinks…

"I have no e-commerce team and no time for dashboards."

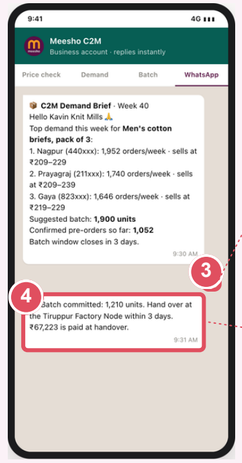
FEELS: Overwhelmed ▼ Routine

REMOVES
- ✓ tech know-how
- ✓ dashboards
- ✓ account managers



1. **Brief comes to him**
Same weekly brief on WhatsApp: districts, prices, suggested batch, pre-orders.

2. **Three quick replies**
1 commits the batch · 2 opens sizes · 3 asks for a callback.



3. **He replies "1"**
No install, no login, no account manager.

4. **Confirmed in one message**
1,210 units, which node, ₹67,223 paid at handover.

Kavin's first 15 days from a camp invite to cash in hand, with no packing team and no unsold stock

Day -10	Day -7	Day -5	Day 0-3	Day 3	Day 4-8	Day 15	Week 2+
Hears of it at a cluster camp	Qualifies: ₹213 vs ₹245	Brief suggests 1,900	1,052 buyers prepay	Drops 1,210 units; ₹67,223 paid	Node ships every order	Balance settled	Next brief on WhatsApp

Open it live

meesho-dice-c2m-iitb.vercel.app
261 synthetic sellers · 4,415 SKUs · 4 model tests

Screens: the live prototype, captured 3 Oct 2026 on seeded synthetic data; Kavin Knit Mills is fictional. Prototype inputs (₹98 making cost, ₹245 synthetic median) differ from the costed case (₹80, ₹209 demand-weighted median).

SCALE-UP ENGINE

One weekly loop runs every factory the same way: the Price Truth Index picks who, the Demand Brief says what to make, the node ships it, the Health Score keeps them. Rules and data, not subsidy or people, so cost per seller falls as volume grows.

The engine · one weekly loop, five automated steps: what happens, the data it runs on, and the KPI at each

1 · QUALIFY Price Truth Index

- Median of delivered prices per category
- Gap = (median - price) ÷ median, per SKU
- ≥ 8% on ≥ 60% of SKUs → badge + re-rank
- Matched holdout reads the lift by Day 30

Data used delivered orders · live SKU prices

KPI badged SKUs ≤ 0.92 × median, weekly

2 · ALLOCATE Demand Brief

- Orders summed by district, size, price
- Every Monday on WhatsApp; no buyer IDs
- Batch = 6% of 14 days' demand
- Refreshed weekly as new orders land

Data used search · orders · returns by pin-code

KPI sell-through within ±15% of the brief

3 · MAKE Prepaid batch

- 3-day window; buyer waits 7-8 days
- Make confirmed orders + 15%, no more
- NBFC advances 30% at handover
- Buyer pays first; nothing made on spec

Data used pre-order checkouts · UPI · NBFC rails

KPI repeat batch within 30 days

4 · SHIP Factory Node

- One truck per batch; seller keeps title
- Node picks, packs and ships each order
- Returns end at the node, graded
- Valmo carries every order onward

Data used Valmo scans · return grades at node

KPI node utilisation ≥ 70%

5 · KEEP Health Score

- 0-100 daily from 5 signals (below)
- Rulebook fires one fix automatically
- ≥ 80 for 30 days → prepayment
- Grants impressions, never ₹ per order

Data used 5 signals, recomputed daily

KPI ≤ 5 escalations / 100 · days to recover

↺ Every order, review and return feeds next week's medians, briefs and scores: more factories make the gate and the brief sharper

How it intervenes without people

Price gap 30%	Order pace 25%	Returns 20%	On-time 15%	Stock 10%

Signal (checked automatically)	Action fired	Who
New factory, no reviews yet	Starter impressions for first orders	Auto
Orders < 60% of cohort at D7 / D14	+25K impressions × 7 days (max 2)	Auto
Price gap < 8% for 7 days	Price nudge with the median	Auto
Size-led returns above norm	Size-chart fix from return reasons	Auto
On-time dispatch < 90% (7 d)	Move to the node	Auto
In-stock < 70%	Restock nudge from the brief	Auto
Score ≥ 80 for 30 days	Prepaid batches unlocked	Auto
Fix did not lift the score	Next fix, one at a time	Auto

How it scales · copy the cluster kit, not the people

Association MoU › Camp: 40-60 units › Price check › Partner node › First batches

Built once, national	Added per cluster	Added per factory
Price Truth Index	1 association MoU + camps	No manual step
Demand Brief	1 partner node (3PL)	Self-serve price check
Health Score + rulebook	Local returns grading	WhatsApp brief, 1-tap commit
WhatsApp + voice agents	Valmo lane to the node	Rules, not a manager

Wave plan (by segment and cluster score)
Pilot: Tiruppur, Panipat
Wave 2: Ludhiana, Rajkot, Erode
Wave 3: Bhiwandi, Solapur, Coimbatore, Agra, Jagadhri, Moradabad, Daman

Why this is the only way that scales profitably

Way to scale	Cost grows with	At 1,400 factories	
Order subsidies	every order	stops when money stops	✗
Account managers	headcount, ~20 sellers each	~70 managers	✗
Platform buys stock	inventory on books	barred for FDI marketplaces	✗
Onboard by turnover	seller size	7 of 10 largest fail the gate	✗
Factory Direct engine	rules + data; capex per cluster	~2 reviewers; no stock on books	✓

One factory's path through the engine · stage → non-cash nudge → KPI

Discover D-30	Qualify D-7	First batch D0-5	Activate D0-14	Diagnose daily	Graduate D30+	Retain D60+
Free price check at camp	Badge + re-rank	30% cash at handover	+25K impressions	One fix at a time	Prepaid batches	Weekly brief · Mall path
Camp → check ≥ 60%	**Listed ≥ 50% in 30 d**	**Batch from the brief**	**≥ 60% of cohort**	**Days to recover**	**≥ 40% by D60**	**Active D90 ≥ 75%**

KPIs at every level · Target, Owner, Cadence

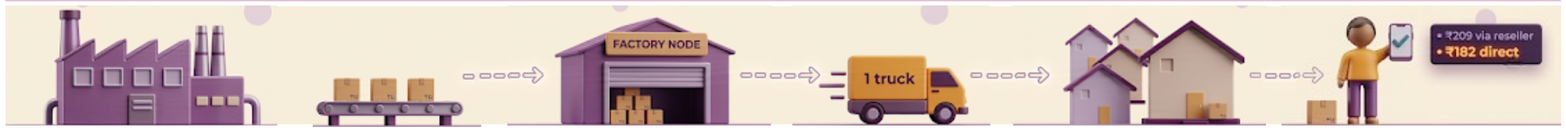
Seller Data Sci · daily
Graduation rate to prepayment median days to recover

Cluster Category · weekly
Camp → listed conversion · node utilisation ≥ 70%

Category Pricing · weekly
C2M share of category orders badged price index

Buyer Growth · weekly
Repeat purchase on C2M SKUs C2M rating vs category

Meesho Finance · monthly
Automated share of actions ≥ 95% · cost per seller falling



RICE Framework : What will we build first

Score = Reach × Impact × Confidence ÷ Effort

	Initiative	Reach, Yr 1	Impact	Confidence	Effort, p-m	RICE score
1	**Price Truth Index badge** existing order data	450	3	90%	1 pm	1215
2	**Health Score + rulebook** auto fixes, no managers	450	2	80%	2 pm	360
3	**Demand Brief** district demand, weekly	450	2	70%	3 pm	210
4	**WhatsApp 1-tap commit** no app, no login	380	1	80%	1.5 pm	203
5	**Prepaid batches + NBFC** 30% cash at handover	300	3	60%	4 pm	135
6	**Factory Node (3PL)** ₹1.3 cr per cluster	300	3	70%	8 pm	79

Build order D0-30 Badge + Health Score · D31-60 Brief + WhatsApp · D61-90 Batches + Node

Sources: Meesho Q1 FY27 Shareholders' Letter; Meesho Q4 FY26 earnings call

Alibaba · Taobao C2M

Full-stack factory programme, 2020

MIXED

10 bn	300 mn+	174/192
order target, 3 yrs (target only)	Taobao Deals buyers, Mar 2022	top industrial belts on 1688

- Data, small runs and belts lasted; buyer subsidies were cut in 2022

TAKES → Demand Brief + factory finance

Pinduoduo

New Brand Initiative, Dec 2018

WORKED

1,500+	460 mn	¥100 bn
factories joined (Q3 2020)	cumulative orders	merchant support, 3 yrs (2025)

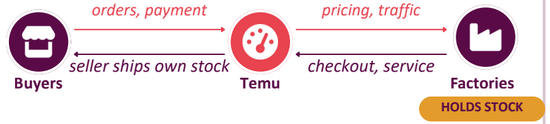
✓ Sipiao tissue: 30,000+ orders in month 1; next, own brand Xinpinmu

TAKES → Demand Brief; factory brands later

Temu · semi-managed

From platform-held to seller-held stock

WORKED



20→70%	+4%	18→37%
semi-managed share of US (est.)	margin vs -5% if Temu holds stock	AliExpress Choice semi-managed

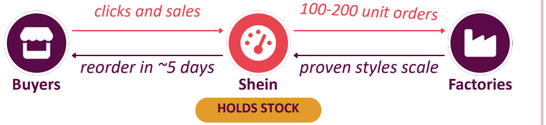
✓ Seller-owned stock is the profitable model (analyst estimates)

TAKES → Factory Node: factory keeps title

Shein

Test small, reorder fast, invest in suppliers

MIXED



7,500	US$42 mn+	1 of 336
contract makers, none > 10%	into suppliers by 2025	Brazil factories left (2026)

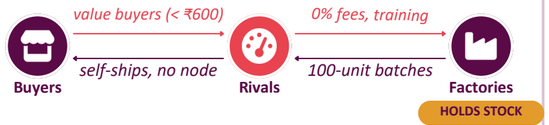
✕ Brazil: ~30% price-cut asks drove factories away

TAKES → Pre-order batch; no price cuts

India rivals

Amazon · Flipkart · Shein-Reliance

THREAT



₹0	0%	150→1,000
Amazon Bazaar fee < ₹600 (2024)	Flipkart fashion commission (2026)	Shein-Reliance Indian factories

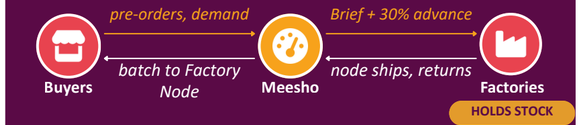
- Fee cuts and training at scale, but no small-batch node model yet

TAKES → Move first on cost-advantaged factories

Meesho Factory Direct

Takes the plumbing that worked

OUR MODEL



₹164	₹182	₹18.3
cost a pack vs ₹200.5 reseller	buyer pays vs ₹209 median	factory margin vs ₹7.9

✕ Never subsidise buyers or squeeze factory prices

BUILT → Data · batches · stock · finance · clusters

How we pick a cluster

the same test for any of India's factory clusters

1 · Screen — 11,645 factories in 12 clusters

2 · Score — 5 weighted criteria, 1-5 each

3 · Pilot — top 2; next clusters by rank

FIVE CRITERIA · bar = AHP weight

Cost ownership — 33.8%
Own raw material, production, scale or automation: a real price edge
Signal: owns 3+ of 4 cost levers

Demand on Meesho — 25.6%
The category already sells at volume to Meesho buyers
Signal: listings and orders in the category

Returns band — 17.9%
Low returns protect the cost edge after fees
Signal: category return rate

Node feasibility — 14.4%
A partner warehouse and a Valmo lane are close by
Signal: Valmo network coverage

Institutional partner — 8.3%
An industry body that can recruit 40-60 units a drive
Signal: active association or cluster body

Cluster score = Σ weight × rating (1-5) weights consistent: CR 0.016 < 0.10

WHAT THE SCORES SHOW · 5 of the 12 clusters, by product type

Hosiery · Tiruppur	4.68
Home textiles · Panipat	4.52
Hosiery, knitwear · Ludhiana	3.74
Plastics, jewellery · Rajkot	3.70
Ethnic wear · Surat	3.28

Scale is not fit: the largest cluster by turnover scores last when factories do not own their costs. The order holds with equal weights; it flips only if demand weighs **0.67** vs 0.26.

THE RECIPE what we take, what we refuse

\+ Pinduoduo — **Demand data** — 900+ factories fed → Demand Brief

\+ SHEIN — **Small batches** — 100-200 unit runs → Prepaid batch

\+ Temu — **Seller-held stock** — 20 → 70% of US GMV → Factory Node

\+ 淘宝网 Taobao.com — **Factory finance** — 174 of 192 belts → NBFC 30% advance

\+ meesho — **Valmo + 0% fee** — 50-55% of deliveries → Edge no rival has

\- SHEIN — **Price-cut asks** — 1 of 336 left, Brazil → Gate only measures

\- 淘宝网 Taobao.com — **Buyer subsidies** — cut in 2022 → ₹0 per order

\- Temu — **Platform-held stock** — barred, Press Note 2 → Seller keeps title

= **Factory Direct**
₹164 cost a pack vs ₹200.5
0 subsidy, price-cut asks or owned stock

Sources: Flipkart newsroom and Business Standard, 0% commission; KrASIA, Pinduoduo; Tech Buzz China, Temu; Reuters, Shein Brazil; Xinhua, Taobao C2M; Alibaba Group results; AFP, Shein

Unit economics per 3-pack kept, one change per column (men's briefs)

	Reseller today	+ Factory lists direct	+ Factory Node	+ Prepaid pre-order batch
Scenario	*Existing: buys via a wholesaler, ships, stocks*	*Step 1: no wholesaler mark-up*	*Step 2: bulk drop; node packs, ships, grades*	***Proposed: make confirmed orders + 15%***
Per 100 shipped: failed deliveries	14.0	14.0	14.0	4.6
Delivered	86.0	86.0	86.0	95.5
Returned by buyers (8%)	6.9	6.9	6.9	7.6
Kept (paid for)	**79.1**	**79.1**	**79.1**	**87.8**
Goods, net of resold returns (₹)	105.1	83.2	82.1	81.1
Unsold stock written down	7.1	5.6	5.6	0.9
Logistics: forward + pack / node fee	72.4	72.4	70.9	68.4
Customer-return fees (₹150 each)	13.0	13.0	13.0	13.0
Working capital (18% a year)	2.8	2.2	2.2	0.4
Cost per pack kept	**200.5**	**176.5**	**173.9**	**164.0**
Lowest viable price (9% margin)	**₹220**	**₹194**	**₹191**	**₹180**
Gap vs ₹209 demand-weighted median	-5.4%	7.2%	8.5%	13.8%
Clears the 8% gate (≤ ₹192)?	✕ no	✕ no	✓ yes	✓ yes

Highest making cost that clears the gate: ₹78.7 → ₹80.9 → ₹90.7 (+15%): the levers widen the pool of factories that qualify

Five-year case (₹ cr, nominal; NPV = sum of the PV row)

	Y1	Y2	Y3	Y4	Y5
Average active sellers	200	700	1,050	1,300	1,450
C2M NMV, year average	140	700	1,260	1,853	2,066
Placed orders (mn)	9	45	81	119	133
Incremental orders × ₹7.3	2.6	13.2	23.8	34.9	39.0
Fewer failed deliveries × ₹60	2.6	12.8	23.0	33.8	37.7
Benefit to Meesho	**5.2**	**26.0**	**46.8**	**68.7**	**76.7**
People	3.6	6.0	7.2	7.8	7.8
Cluster onboarding	5.0	3.0	2.0	2.0	0.0
Demand Brief	6.0	3.0	3.0	3.0	3.0
Factory Nodes	7.8	2.6	2.6	2.6	0.0
Returns pool, grants, first-loss	3.4	1.9	3.2	4.7	5.2
Programme cost	25.8	16.5	18.0	20.1	16.0
Net cash flow	**-20.6**	**9.5**	**28.7**	**48.6**	**60.7**
Discount factor at 12%	*0.893*	*0.797*	*0.712*	*0.636*	*0.567*
PV at 12%	**-18.4**	**7.6**	**20.4**	**30.9**	**34.4**

₹74.9 cr	₹66.1 cr	105%	Year 3	Year 3	₹22.2 cr (+₹3.6 cr)
NPV at 12%	NPV at 15%	IRR	Payback	Discounted payback	Year-1 cash (+ people)

One prepaid batch of 1,000 packs at ₹182, stage by stage

Stage	What happens	₹
1 · Pre-order window	1,000 confirmed; make 1,150 (+15%)	**₹1,82,280 order value**
2 · Handover at node	30% advanced by the NBFC	**+₹54,684**
3 · Delivery	46 failed (4.6%) · 76 returned	**878 kept**
4 · Revenue on kept orders	878 × ₹182.3	**₹1,60,067**
5 · Fees	forward ₹40,089 · node ₹20,000 · returns ₹11,454	**-₹71,543**
6 · Payout, 7 days after delivery	net of fees; repays the advance	**₹88,524**
7 · Balance to the factory	payout - advance	**+₹33,840**

Advance at handover ₹54,684 | **Balance ₹33,840**

Opportunity: what each phase is worth (exit run-rates)

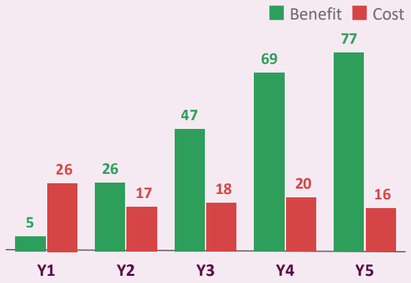
	Pilot · Day 90	Year 1 exit	Year 4 exit
Clusters · nodes · active sellers	2 · 1 · 60	5 · 6 · 450	12 · 12 · 1,400
Run-rate NMV (× ₹1.425 cr per seller)	**₹85.5 cr**	**₹641 cr**	**₹1,995 cr**
Share of FY26 NMV	0.2%	1.5%	4.8%
C2M orders a day (share of Meesho's)	15,000 (0.2%)	1,13,000 (1.4%)	3,52,000 (4.4%)
Buyer savings a year (8-12% gap)	**₹7.4 cr-₹11.7 cr**	**₹55.8 cr-₹87.4 cr**	**₹173 cr-₹272 cr**
Meesho value a year	₹3.2 cr	₹23.8 cr	₹74.0 cr

Where the ₹45 per pack goes (pre-order vs a reseller at ₹209)

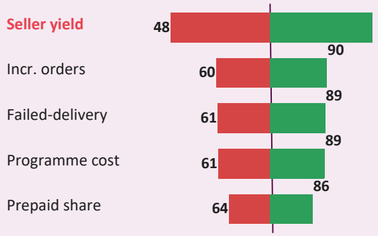
₹45 = ₹36.5 lower cost (no wholesaler, node, batches) + ₹8.5 reseller margin

- **Buyer:** pays ₹182 instead of ₹209.
- **Factory:** earns ₹18.3 a pack vs ₹7.9 selling ex-factory (2.3×).
- **Meesho:** earns per order, not per rupee: ₹5.8 per C2M order.

Benefit vs programme cost (₹ cr)



Sensitivity: NPV at -20% / +20%



Base ₹75 cr; left = worse

Break-even and scenarios

NPV = 0 at 45% of planned seller yield (49% of planned benefit). Positive even with zero incremental orders (₹1 cr) or no failed-delivery saving (₹9 cr): each lever alone almost repays the programme.

Bear -₹10 cr	Base ₹75 cr	Bull ₹140 cr
20% incremental · 8-pt gap · 75% yield	40% incremental · 15-pt gap · plan yield	55% incremental · 20-pt gap · 110% yield

What changed since Round 1, and how money is released

Round 1: ₹156 cr NPV counted contribution on every C2M order. Round 2 counts only the 40% that are incremental, plus fewer failed deliveries (₹75 cr); if every order were incremental: ₹186 cr. Value per C2M order = 40% × ₹7.3 + ₹2.8 = ₹5.8.

Day 0-30	₹0: badge test on existing order data
Day 31-90	₹7.3 cr: 2 clusters, Brief build, 1 node, pool seed
Q2-Q4	₹14.9 cr: 3 clusters, 5 nodes, Brief run

Factory

Making cost ₹80 a pack
Margin 9% on price
Capital 18% a year

Market

Demand-weighted median ₹209
Gate -8% = ₹192
Pre-order ₹10 off

Logistics

Forward ₹55 self / ₹42 node
Packing ₹10 · node fee ₹20
Wholesaler +15%

Returns

Failed 14% (4.6% prepaid)
Returned 8% of delivered
₹150 return fee · ₹0 RTO fee

Stock

Unsold 10% vs 2%
Salvage 50% · recovery 85%/90%
45 vs 10 inventory days

Decision: price pre-orders at the gate less ₹10 (₹182), funded by the factory's ₹11 batch saving (Owner: Pricing + Category · KPI: factory margin ≥ ₹18 a pack); approve ₹22.2 cr of Year-1 cash as a capped H2 bet, released at the Day-30 and Day-90 gates (Owner: Finance · KPI: Year-1 C2M NMV ≥ ₹140 cr).

Sources: Meesho Q1 FY27 Shareholders' Letter; Meesho FY26 results, Deccan Herald and Inc42; meesho.com listings; Shiprocket and Robnu, Meesho seller fee guides; Shiprocket, fulfilment pricing; GoKwik and TrackVid, COD vs prepaid RTO benchmarks

DAYS 1- 30 · PROVE THE GAP

Objective: Prove buyers reward a real factory price gap before Meesho spends a rupee.

- **Price screen live** — W1
  Category medians + seller scores in 5 categories; "factory price" badge goes live on day 1
- **Badge test vs holdout** — W1-4
  Badged SKUs vs a matched holdout; NMV per live SKU read at D7 and D14
- **Groundwork, no spend** — W2-4
  Node warehouse quotes · Legal: PN2 + GST review · Health Score build · NBFC talks open
- **Open cluster doors** — W3-4
  Pick 2 pilot clusters by cluster score; talks with local industry bodies; Demand Brief build starts

⚠ **Watch-out: Gap was only a promotion →** stop rule at Day 30; badge off below a 4% gap

Pinduoduo's New Brand Initiative fed demand data to 900+ factories and cut cycle time by half

DAY 30 GATE · 1 Dec
Pass if Badge lift ≥ 12% (interval > 0) and ≥ 70% still clear at D14
→ release ₹7.3 cr
Fail: tighten gap, or stop

DAYS 31- 60 · SIGN PARTNERS

Objective: Lock in supply, demand signals and money rails before the first batch.

- **Sign cluster partners** — W5-6
  Onboarding partner signed in each pilot cluster ; factory onboarding camps begin
- **Catalogue 60 factories** — W5-9
  Category team runs camps; KYC and catalogues done for 60 factories
- **Demand Brief live** — W8
  Top districts, price bands and sizes in 5 categories ; pre-order window built W7-9
- **Money and rules** — W6-9
  Health Score → grants · badge declared · NBFC signed, 30% advances

⚠ **Watch-out: Exports recover, factories leave →** batches fill idle capacity between export runs

Shein Brazil brought 2,000 local factories on board in 3 years

DAY 60 GATE · 31 Dec
Pass if partners signed in 2 clusters · 60 factories catalogued · briefs live in 5 categories · NBFC signed
→ keep funding
Fail: hold node spend

DAYS 61- 90 · SHIP BATCHES

Objective: Ship the first prepaid batches end to end, and prove factories stay.

- **Node live** — W10
  First cluster node picks, packs, ships and takes returns; returns end at the node
- **Pre-orders → batches** — W10-11
  Pre-order window live W10; first prepaid batches W11; 30% advance paid at handover
- **60 factories live** — W12
  Weekly re-score keeps the badge honest; retention tracked against ≥ 70%
- **Day-90 readout** — W13
  NMV, retention and SLA reviewed; Q2-Q4 plan: 5 clusters, 450 factories

⚠ **Watch-out: Quality falls with price →** suspend at > 1.5× return norm; QC hold

Temu's fully-managed node model scaled to 4 mn parcels a day from 60 nodes

DAY 90 GATE · 30 Jan
Pass if 3 of 4: batches in SLA · returns end at node · retention ≥ 70% · category NMV ≥ base
→ release ₹14.9 cr
Year-1 cap ₹22.2 cr

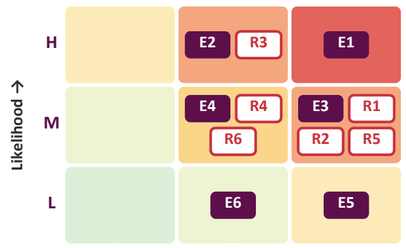
Week-by-week road-map

Scoreboard: what each gate must show

KPI	D30	D60	D90	Yr-1 exit
Active sellers	Shortlist	60 catalogued	60 live	**450**
Badge lift vs holdout	≥ 12%	held	held	**held**
Clearing 8% gate	≥ 70%	≥ 70%	≥ 70%	**≥ 75%**
Days to 1st batch	—	—	≤ 14	**≤ 14**
Prepaid share	—	—	≥ 37%	**≥ 68.5%**
Run-rate NMV	—	—	₹85.5 cr	**₹641 cr**

Money released ₹0 to Day 30 → ₹7.3 cr D31-90 → ₹22.2 cr cap

Risk Heat Map · 12 risks, likelihood × impact



Tripwires: automatic stop rules

- D30 lift < 12% → 10% gap, or stop
- Gap < 4%, 3 days → badge off
- Returns > 1.5× norm → QC hold at node
- NBFC loss > 1% → pause advances
- Category NMV < base → badge ≤ 20% impr.
- Score < 40 after fix → one human review

E1 execution, 90 days · R1 second-order, at scale

Risk Register A (90 days)

#	Risk	L	I	Early-warning signal	Guardrail / response	Owner
E1	**The gap was a promotion**	H	H	Gap decays inside 14 days	Day-30 stop rule; badge off below 4%	Pricing
E2	**Export recovery pulls factories back**	H	M	Batch commits fall as export orders return	Batches fill idle lines between export runs	Category
E3	**Quality falls with price**	M	H	Returns > 1.5× category norm	Suspend; QC hold at the node	Category
E4	**Sellers game the badge with a few cheap SKUs**	M	M	Gap on 1-2 SKUs only	≥ 60% of live SKUs must clear; dominant-seller rule	Pricing
E5	**Node or advances read as inventory control**	L	H	Legal review flag	Seller keeps title; NBFC lends; arm's-length 3PL fees	Legal
E6	**Re-rank starves resellers**	L	M	Reseller category NMV falls	≤ 20% of impressions; category NMV guardrail	Growth

Risk Register B · second-order risks as it scales

#	Risk	L	I	Early-warning signal	Guardrail / response	Owner
R1	**Amazon / Flipkart copy it at 0% commission**	M	H	Badged SKUs cheaper elsewhere	Compete on cost to serve: ₹20 node fee, weekly brief	Category
R2	**Traders pose as factories**	M	H	Udyam code not manufacturing	Udyam + GST check; association vouching; node QC	Pricing
R3	**Buyers won't prepay (63% pay cash)**	H	M	Prepaid < 37% at Day 90	Allow COD pre-orders; cut buffer to +10%	Finance
R4	**Demand Brief misreads sizes or districts**	M	M	Pre-orders < 50% of batch, 2 weeks	Smaller batch; size mix from last 4 weeks	Data Sci
R5	**Node breaks at sale-season peaks**	M	H	Shipped in 48 h < 95%	Standby 3PL per cluster; Valmo overflow	Valmo
R6	**Two-cluster concentration**	M	M	One cluster > 60% of C2M NMV	Bring Ludhiana, Rajkot forward to Q2	Category

Sources: Meesho Q1 FY27 Shareholders' Letter; Meesho Q4 FY26 earnings call; Udyam portal; Flipkart newsroom and Business Standard; KrASIA, Pinduoduo; Reuters, Shein Brazil; Khaitan & Co and LexOrbis, Press Note 2 and E-Commerce Rules 2026; Bank of Baroda, seller loans

MEESHO · Gather the data
Searches, carts, orders and returns from 274 Mn buyers, plus past sales history, combined by district.

Meesho predict demand
Demand Brief: districts, sizes, colours and the price band that sells, from search + delivered orders

Meesho → FACTORY Share the number
Brief + 1,000 prepaid pre-orders reach the owner on WhatsApp; one reply commits the batch

Factory makes the order
Makes confirmed orders + 15% (1,150), not stock; unsold falls to 2% from 10%

1 → 2 → 3 → 4 → 5 → 6 → 7 → 8

Four things travel in this loop: data → orders → goods → cash.
Meesho owns the data, the factory owns the stock, the node owns the parcel.
No step starts until the one before it is confirmed.

Settle and Learning
Balance paid in ~11 days (+₹33,840 a batch); Health Score updates; data loops back to stop 1

Valmo delivers to Buyers
Prepaid buyer pays ₹182 vs ₹209, waits 7-8 days; failed deliveries 4.6% vs 14%; returns end at the node

FACTORY NODE Pack each order
Node picks, packs, labels and QC-samples at ₹20 a unit vs ₹24 for SMB fulfilment

FACTORY NODE Store at hub
One truck to the cluster node; seller keeps title; NBFC pays 30% at handover

More factories join
they earn 2.3× per pack: 60 → 450 → 1,400 by Year 4

Batches fill, waste falls
unsold 2% vs 10%; failed deliveries -4.7 pts

Prices fall
13.8% below market: ₹180 floor vs ₹209

THE FACTORY DIRECT
FLYWHEEL
every turn makes the next one cheaper

Demand data sharpens
district demand by size and price, every Monday

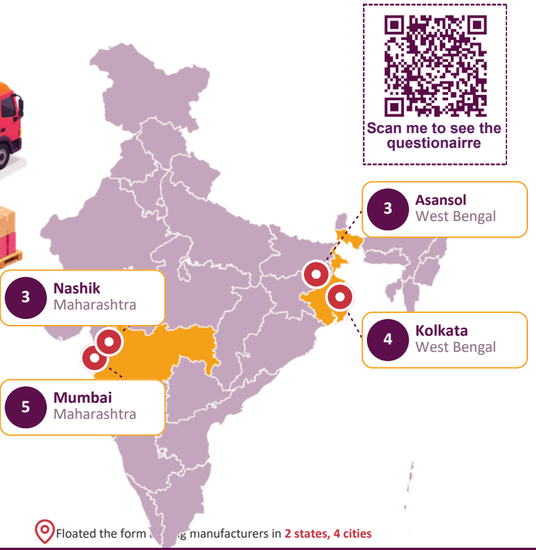
More buyers prepay
274 mn buyers; half of C2M orders prepaid

Voices Across India

"Make it only after it's paid, and my looms are in."

"If someone else packs and takes returns, I'll try it next month."

"₹20 a piece is less than my packing boy costs me."



Scan me to see the questionairre

Scan me to see the customer survey results !

10+
Survey form respondents

Conclusion: grow the C2M base by removing what factories fear (stock, returns, unit ops, slow cash) with infrastructure, not subsidy. Start Mon 2 Nov 2026 with the ₹0 price-gate test.

Sources: Meesho Q1 FY27 Shareholders' Letter; meesho.com listings; Shiprocket, fulfilment pricing; GoKwik and TrackVid, COD vs prepaid RTO benchmarks; Bank of Baroda, seller loans